

# Overview - International Finance Simulation

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### ! Important

**Start here.** Read this page first. Then review **Countries**, **Roles**, and **Decisions** before the first simulation round.

## 1 Purpose

The simulation is a multi-week, country-based decision exercise where each team will represent a fictional country operating in a shared global economy. Each week you will respond to a policy problem involving exchange rates, capital flows, trade, and financial stability.

The simulation is designed to help you:

- apply international finance concepts to realistic policy decisions
- understand trade-offs among exchange rates, interest rates, capital flows, and trade
- see how credibility and institutions shape market outcomes
- analyze how shocks proliferate throughout the international system
- practice writing concise, professional policy memos

## 2 What the simulation is (and is not)

### 2.1 What it is

- A **repeated decision cycle**: problem → decision → market reaction → adjustment
- A structured way to apply the concepts, ideas, and topics to realistic constraints
- A setting where internal disagreement within each country is expected (because roles have different objectives)

### 2.2 What it is not

- Not a math-heavy forecasting model (theory not calculations)
- Not a game where the “best” outcome always wins (remember, other countries decisions may affect your decisions)
- Not graded on whether your country “succeeds” in the short run

#### Note

**How you are graded:** You are evaluated primarily on the quality of your reasoning and the coherence of your policy choices—not on whether markets react positively or whether your policies achieve their desired goals. See: [Evaluation and Rubric](#)

## 3 Course flow and timing

The simulation runs for **approximately 6-8 weeks** within the semester. There are additional weeks before and after the simulation for preparation and final exam review.

## 4 Your weekly workflow

Each simulation week follows the same workflow:

1. **Read** the assigned chapter notes and the weekly case brief
2. **Meet** with your country team and negotiate a position (roles may disagree)
3. **Submit** a decision and justification (Submission will be on Canvas; firm deadlines, if there is no submission, your previous week’s submission will be re-used, but you will receive a 0 for the assignment.)
4. **Receive** the market reaction and updated constraints
5. **Adjust** for the next round

See: [How Decisions Work](#)

## 5 Submissions

All simulation submissions are made through **Canvas**.

Submissions include: 1. Country policy memos (1–2 pages) 2. Decision forms (country-level, role-level, or both)

See: [Deliverables](#)

## 6 Where to go next

- [Roles and Responsibilities](#)
- [Countries](#)
- [Decisions and Rules](#)